# Weekly Ship Recycling Report

15 July 2023 - 20 July 2023

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Recycling with the Best

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# Highlights of the Week

The ship recycling activities have thus far exhibited a sluggish pace, characterized by a dearth of transactions. The current situation has exhibited minimal changes in recent weeks, primarily due to the prevailing monsoon bombardment and the diminished state of the domestic steel markets. Pakistan has experienced a prolonged period of inactivity, while Bangladesh continues to grapple with an endless and increasingly difficult set of challenges related to its Letter of Credit (LC) issues. India appears to exhibit a comparative disadvantage in terms of pricing, as it trails behind by a margin of 40 to 50 dollars. Consequently, the level of activity continues to be constrained.

In view of Bangladesh's recent ratification of the Hong Kong International Convention, the foreign minister of Bangladesh has formally requested the Japan International Cooperation Agency (JICA) for monetary aid to facilitate the establishment of a secure and environmentally responsible (Green) ship recycling sector within the borders of Bangladesh. Furthermore, Bangladesh seeks the support of Japan in strengthening its candidacy for the position of Secretary General of the International Maritime Organization, for the term spanning 2024-2027.

Global stock markets experienced an increase, while the value of the dollar strengthened, following an unexpected decrease in British inflation. This development has contributed to a risk-averse sentiment in various markets, as investors anticipate that the Federal Reserve will raise interest rates for the final time in the upcoming week. The value of the dollar experienced a rebound as market sentiment was bolstered by the unexpected decrease in inflation in the United Kingdom during June. This decline brought the inflation rate to its lowest level in over a year, specifically at 7.9%.

## Exchange Rates:

**USD / INR ₹**

| | |
|---|---|
| This Week | : 82.03 |
| Previous Week | : 82.15 |
| Gained | : 0.12 |

**USD / BDT ৳**

| | |
|---|---|
| This Week | : 108.53 |
| Previous Week | : 108.51 |
| Lost | : 0.02 |

**USD / PKR Rs**

| | |
|---|---|
| This Week | : 281.19 |
| Previous Week | : 274.00 |
| Lost | : 7.19 |

**USD / TL ₺**

| | |
|---|---|
| This Week | : 26.93 |
| Previous Week | : 26.20 |
| Lost | : 0.73 |

# India

*The market seems sluggish albeit gained momentum by the end of the week.*

- The current state of the market can be characterized as exhibiting a notable degree of weakness, with a discernible lack of substantial movements. However, it is worth noting that towards the conclusion of the week, there has been a modest improvement observed in the local market.

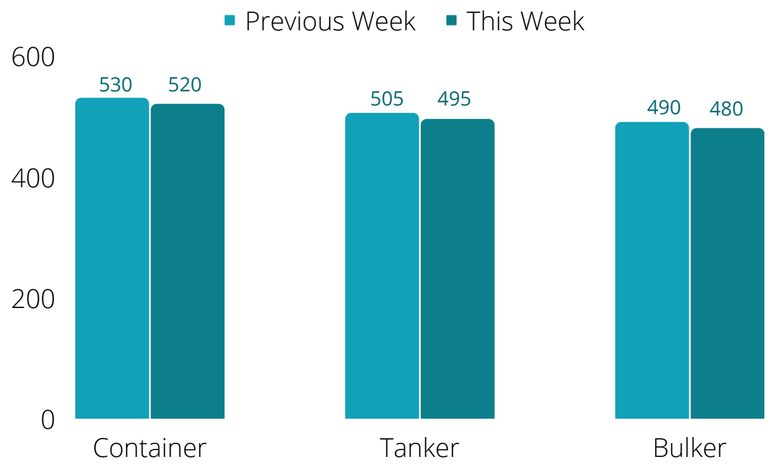
- Indian traders have been procuring Chinese steel at a considerable discount, engaging in a noteworthy volume of import agreements owing to the appealing discounts ranging from $30 to $50 per tonne provided on hot-rolled and cold-rolled products. The domestic industrial sector is anticipated to experience an upturn in activity within the upcoming two months following the conclusion of the monsoon season.

- The Asian Development Bank (ADB) maintains its previous forecast that India's GDP is expected to grow by 6.4% in the current financial year and 6.7% in FY25. This growth will be driven by the recovery in consumption demand and the easing of global commodity prices.

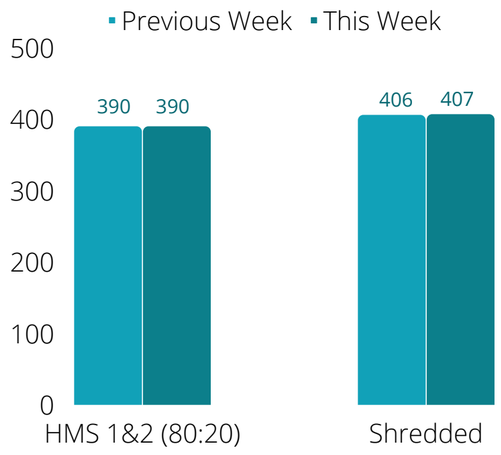
## Beaching Dates

20 July to 22 July 2023
30 July to 31 July 2023
14 August to 20 August 2023

## Price for Recycling Ships in India




## Price of HMS 1&2 (80:20) and Shredded



# Bangladesh

*The already challenging market is poised to undergo a further intensification of challenges.*

- The current market conditions continue to present challenges, as only a limited number of individuals are able to successfully initiate the process of opening LC. When considering business engagements, it is advisable to opt for smaller vessels. We strongly advise against engaging with larger ships that have a lightweight capacity exceeding 5000. It is anticipated that the accessibility of the LC will become increasingly limited in December due to the impending elections.

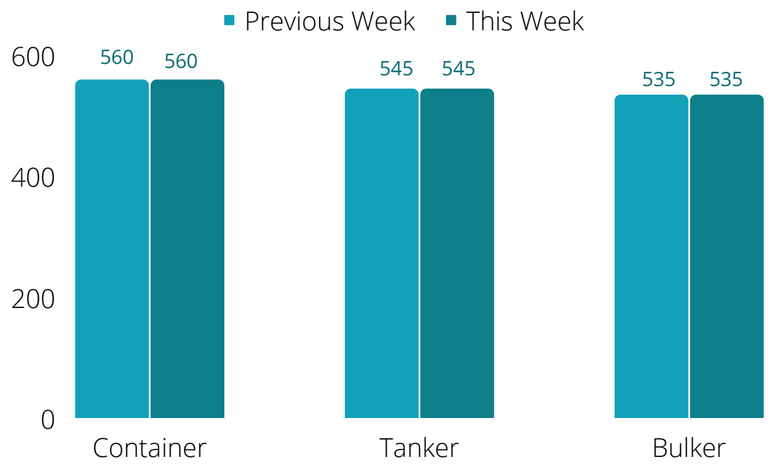
- The exchange rate has exhibited a trend wherein the value of the dollar has increased by approximately 1.5 to 2 points over the course of the preceding three months. Consequently, if a deferred payment by LC is made, which is typically the case, and the recycling of a vessel takes 6 to 9 months, the potential loss incurred solely due to fluctuations in the exchange rate could be substantial.

- An alternative option for the buyer would be to utilize a Sight LC as a means of payment in order to mitigate the risk associated with a depreciating currency. This method ensures that the full payment in dollars is executed at the prevailing exchange rate. However, due to the unavailability of dollars, buyers are currently unable to pursue this option.

## Beaching Dates

20 July to 21 July 2023
01 August to 04 August 2023
16 August to 19 August 2023

## Price for Recycling Ships in Bangladesh

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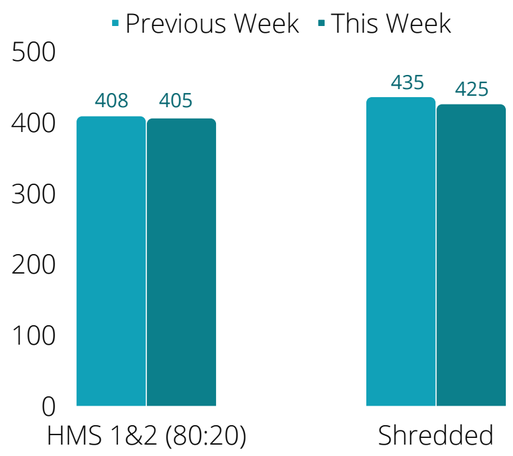


# Pakistan

*The definitive trajectory of this market remains to be comprehended.*

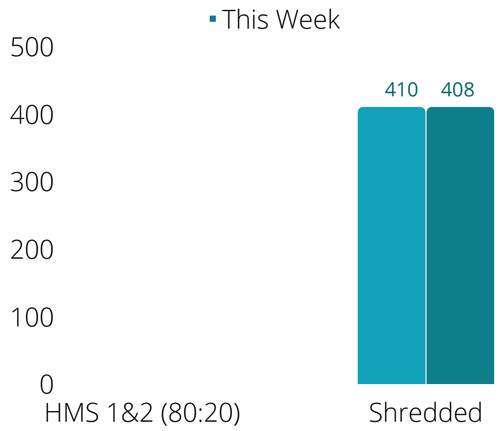
- The current state of the local market exhibits indications of a gradual revival. The banks are currently facing significant pressure to initiate the issuance of LC for smaller vessels, which will facilitate the commencement of operations at the Gadani Ship Recycling Yard.
- Individuals are eagerly anticipating the decisions made by banks regarding their plans for initiating and facilitating the opening of LC.
- The appreciation of the Pakistani rupee in response to the IMF news has been largely undermined in recent days.
- The government is instructing banks to independently manage their foreign exchange operations. Simultaneously, it is not feasible for them to procure goods from the open market. They are compelled to align their import activities with their own export endeavors.

## Beaching Dates

Throughout the month

## Price for Recycling Ships in Pakistan

## Price of HMS 1&2 (80:20) and Shredded




*HMS 1& 2 no booking as no LC facilities

# Türkiye

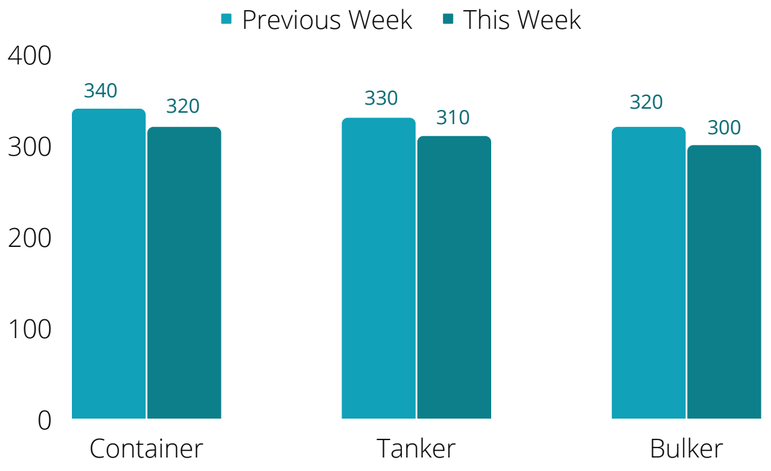
*The prevailing market conditions are characterized by diminished appetite and enthusiasm.*

- The decrease in imports amounted to 14 USD, while the local market experienced a decline of 15 USD.
- The appetite for buying in this particular region is significantly diminished, as recycling yards are currently exhibiting a lack of enthusiasm to engage in buying activities due to the declining market conditions.
- The Central Bank of Turkey implemented a 250 basis point increase in interest rates, raising them from 15% to 17.5%. This adjustment, which was below market expectations, resulted in a significant depreciation of the Turkish lira. This marks the second instance of a rate hike following the implementation of a comprehensive restructuring of the nation's economic management team, which committed to implementing rational and more stringent monetary policies.

## Beaching Dates

Throughout the month

## Price for Recycling Ships in Türkiye

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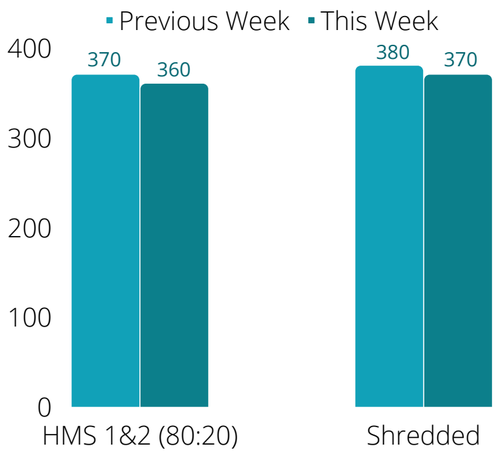
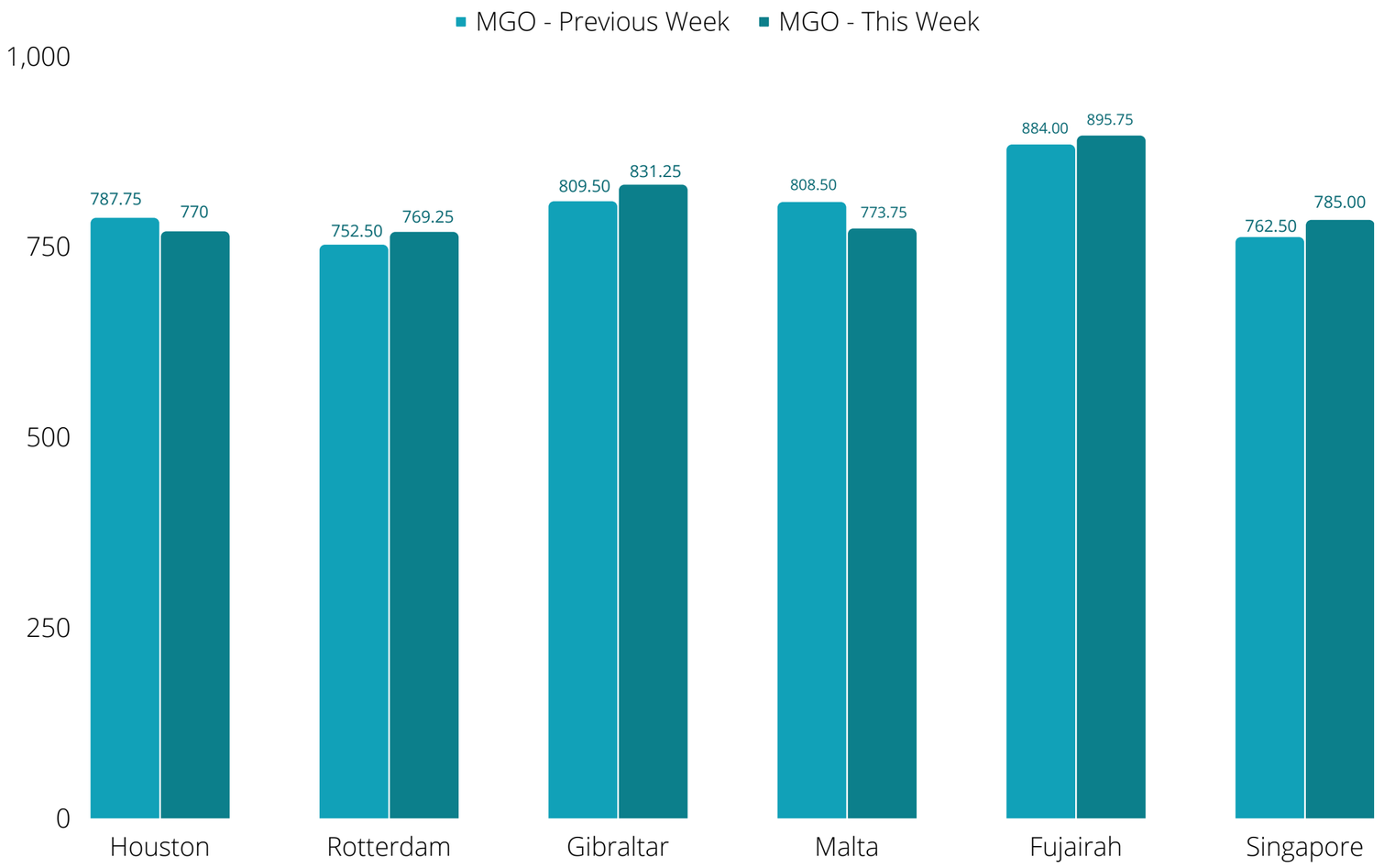


# Bunker Prices at Port




## Brent Crude

| | | |
|---|---|---|
| This Week | : | 79.43 |
| Previous Week | : | 80.19 |
| Movement | : | - 0.76 |

## WTI Crude

| | | |
|---|---|---|
| This Week | : | 75.30 |
| Previous Week | : | 75.76 |
| Movement | : | - 0.46 |

# List of Vessels Sold this Week

| VESSEL NAME | TYPE OF VESSEL | IMO NO. | YEAR OF BUILD | COUNTRY OF BUILD | LDT | TERM OF SALE | LOCATION OF DELIVERY | SALE PRICE/LDT (USD) |
|---|---|---|---|---|---|---|---|---|
| HENG YANG | CHEMICAL TANKER | 9016923 | 1994 | BELGIUM | 3,535 | AS-IS | INDONESIA | 930 (STST) |
| MARCHIE 8 | GENERAL CARGO | 8626680 | 1985 | SINGAPORE | 1,593 | DELIVERED | CHITTAGONG, BANGLADESH | UNDISCLOSED |
| ASIAN BULK | BULKER | 9115523 | 1996 | JAPAN | 9,257 | DELIVERED | ALANG, INDIA | UNDISCLOSED |
| OCEANIC INSTALLER | DIVING SUPPORT | 8224494 | 1984 | NORWAY | 2899.93 | AS - IS | SHARJAH, UAE | 1.6 MM (LUMP SUM) |

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